Sector Underwriting Note: Logistics

ASHVA CAPITAL INTERNAL CREDIT POLICY MANUAL
SECTION 4: INDUSTRY-SPECIFIC UNDERWRITING PROTOCOLS
SUB-SECTION 4.8: LOGISTICS SECTOR LENDING GUIDELINES

4.8.1 Purpose and Scope This sub-section governs the evaluation, structuring, and approval of credit facilities extended to Small and Medium Enterprises (SMEs) operating within the commercial logistics, freight forwarding, and road transport sector. Underwriters are strictly bound by the numeric thresholds and procedural mandates contained herein. Where provisions of this sub-section conflict with general underwriting guidelines, this sub-section shall take precedence.

4.8.2 Portfolio Concentration Limits 1. Sector Exposure Cap: The total aggregate principal balance of all outstanding loans extended to borrowers classified under the logistics sector shall not exceed 10 percent of Ashva Capital’s total active loan book. 2. Current Portfolio Status: As of the effective date of this manual, the logistics sector portfolio is at its maximum allowable concentration limit of 10 percent. 3. Application Routing and Reason Codes: Due to the portfolio cap being reached, any new credit application originating from the logistics sector shall be automatically intercepted by the automated underwriting system. Such applications shall be assigned reason code SECTOR_CAP and routed directly to a designated Senior Credit Reviewer for manual evaluation. No automated approvals are permitted for this sector while the cap is fully utilized.

4.8.3 Working Capital Cycle and Financial Metrics 1. Working Capital Cycle: The typical working capital conversion cycle for standard logistics SMEs—accounting for trade receivables from enterprise shippers and immediate fuel and maintenance outlays—is established at 30 days. Underwriters must adjust cash flow models if the applicant’s historical cycle exceeds this baseline by more than 15 days. 2. Debt Service Coverage Ratio (DSCR) Floor: Owing to asset volatility and variable fuel surcharges, the minimum acceptable DSCR for logistics sector borrowers is set at 1.40x. This supersedes the general portfolio standard of 1.25x. Facilities demonstrating a projected DSCR between 1.30x and 1.39x may only be approved via an

Exception Escalation signed by the Chief Credit Officer, provided secondary liquidity coverage is demonstrated. 3. Maximum Tenor: The maximum allowable loan tenor for any term facility or revolving line of credit extended within this sector is 48 months. Balloon payments are strictly prohibited.

4.8.4 Seasonality Adjustments 1. Peak Operating Window: The logistics sector exhibits pronounced seasonal concentration, with the primary peak volume period occurring annually from September to December driven by retail inventory staging and end-of-year fulfillment surges. 2. Cash Flow and Debt Service Adjustments: Underwriters must model debt service capacity using trailing twelve-month (TTM) averages rather than peak-month performance. During the off-peak window (January through August), borrowers must maintain a minimum unencumbered liquid cash reserve equal to 1.5 times the monthly contractual debt service obligation. 3. Seasonal Facility Structuring: For revolving facilities, peak-season drawdowns exceeding 120% of the baseline limit require prior approval and must include a mandatory principal paydown clause of not less than 15% of the seasonal advance within 60 days following the close of the peak window (i.e., by the end of February).

4.8.5 Primary Causes of Financial Distress Underwriters must specifically assess and document mitigants against the two most common structural causes of default in the logistics sector: 1. Fuel Price Volatility: Unhedged spikes in diesel and operating fuel costs compress operating margins faster than contract rate adjustments can be negotiated with shippers. *Mitigant:* Applicant must demonstrate automated fuel surcharge pass-through mechanisms in at least 70% of active client contracts, or maintain a rolling 30-day fuel reserve fund. 2. Customer Concentration and Late Payments: Over-reliance on a single third-party logistics (3PL) broker or enterprise shipper, compounded by extended debtor payment terms (exceeding 60 days), induces acute liquidity freezes. *Mitigant:* No single freight client or broker shall account for more than 35% of the applicant's total annual gross revenue.

4.8.6 Acceptable Collateral Types Given the depreciation profile of commercial transport assets, only the following collateral types are eligible for asset-backed facilities in this sector, subject to the specified maximum Advance Rates against orderly liquidation value (OLV): 1. Commercial Freight Vehicles (Heavy Duty Trucks and Tractors): Maximum advance rate of 75% of appraised OLV,

provided asset age does not exceed 7 years at facility origination. 2. Trailers and Specialized Chassis: Maximum advance rate of 60% of appraised OLV, provided asset age does not exceed 10 years. 3. Real Estate (Terminal or Warehouse Facilities): First-lien commercial mortgage with a maximum Loan-to-Value (LTV) ratio of 65%, supported by a full Phase I Environmental Site Assessment. 4. Accounts Receivable: Eligible commercial freight bills aged under 60 days, subject to a maximum advance rate of 80% under an approved lockbox and factoring control agreement.

Authorized by:
Marcus Vance
Chief Credit Officer, Ashva Capital
Effective Date: October 1, 2023